preferred-dividend payments, but it has an important bearing also on the retirement of the principal, either at maturity or by sinking-fund operations or by voluntary repurchase. Sinking-fund provisions, for bonds as well as preferred stocks, contribute to the improvement of both the market quotation and the intrinsic position of the issue. This advantage is not found in the case of common stocks.

Examples: Francis H. Leggett Company, manufacturers and wholesalers of food products, issued $2,000,000 of 7% preferred stock carrying a sinking-fund provision which retired 3% of the issue annually. By June 30, 1932, the amount outstanding had been reduced to $608,500, and, because of the small balance remaining, the issue was called for redemption at 110, *in the depth of the depression*. Similarly, Century Ribbon Mills Preferred was reduced from $2,000,000 to $544,000 between 1922 and 1938; and Lawrence Portland Cement Company Debenture 5½s were reduced from $2,000,000 to $650,000 on December 31, 1938, the balance being called for redemption on April 1, 1939.

Importance of Large Net-Current-Asset Coverage. Where a low-priced bond is covered several times over by net current assets, it presents a special type of opportunity, because experience shows that the chances of repayment are good, even though the earnings may be poor or irregular.

Examples: Electric Refrigeration Corporation (Kelvinator) 6s, due 1936, sold at 66 in November 1929 when the net current assets of the company according to its latest statement amounted to $6,008,900 for the $2,528,500 of bonds outstanding. It is true that the company had operated at a deficit in 1927 and 1928, but fixed charges were earned nearly nine times in the year ended September 30, 1929, and the net current assets were nearly four times the market value of the bond issue. The bonds recovered to a price close to par in 1930 and were redeemed at 105 in 1931. Similarly, Electric Refrigeration Building Corporation First 6s, due 1936, which were in effect guaranteed by Kelvinator Corporation under a lease, sold at 70 in July 1932 when the net current assets of the parent company amounted to about six times the $1,073,000 of bonds outstanding and over eight times the total market value of the issue. The bonds were called at 101½ in 1933.

Other examples that may be cited in this connection are Murray Corporation First 6½s, due 1934, which sold at 68 in 1932 (because of current operating deficits) although the company had net current assets